

BREAUX Capital

By the end of high school, through hard work and perseverance, Derrius Quarles had achieved something remarkable: He had over \$1 million in scholarship offers. The first in his family to attend college, he left his Chicago home to attend Morehouse College completely free.

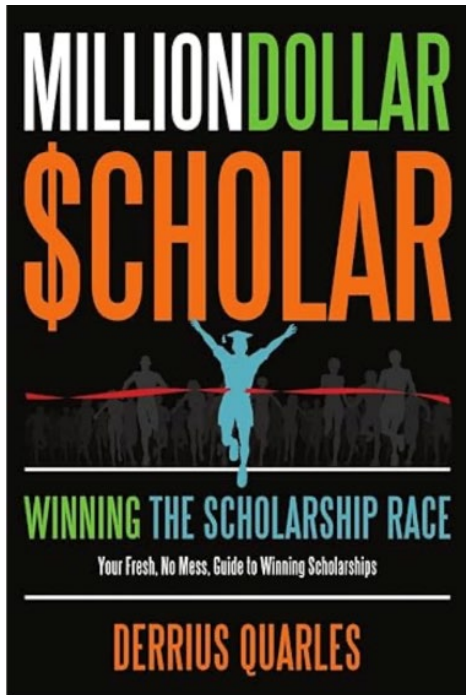


Figure 1. Quarles’s book on securing college scholarships

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Dubbed the “million-dollar scholar” by the *Chicago Tribune*, Quarles was so confident in his ability to navigate college financial aid that he wrote a book (Figure 1) while still in his teens, called *Million Dollar Scholar*, to guide aspiring college students. Quarles’s knack for managing his personal finances and securing scholarships had ignited his entrepreneurial spirit.

If entrepreneurship was Quarles’s gift, BREAUX Capital became his enduring passion. Pivoting away from a medical school track after an internship in a medical lab between his junior and senior year of college, Quarles leaned into his deep understanding of the ways Black millennials like himself were disconnected from banking and financial tools. After launching several tech and design startups, Quarles and two cofounders, Ras Asan and Brian Williams, created BREAUX Capital in 2016 as a financial platform and community to help Black men achieve their financial dreams.

According to research he and his cofounders had conducted prior to launching their business:

- 44% of Americans say they have enough savings to manage a \$1,000 emergency.
- 34% of millennials (born between 1981 and 1996) have no emergency savings whatsoever.
- Less than 25% of Black men consistently save a portion of their income.

Quarles had also learned from psychology research that group accountability is key to building savings, much like a workout buddy encourages gym attendance. This convinced Quarles that BREAUX Capital would need to be more than just a way for individuals to invest; it would need to be a shared experience, where meeting with like-minded individuals would reinforce saving behavior.

The Business Model

Quarles knew he wanted to help Black men save money to meet their goals and to prepare for emergencies. The first step involved building trust: Members of the Black community had historically been harmed by discriminatory lending practices, and many of his peers were skeptical of the financial industry. Quarles and his team built that trust by creating a collaborative fund—where every member can buy an equity share—and emphasizing full transparency, education, and collaboration (Figure 2).

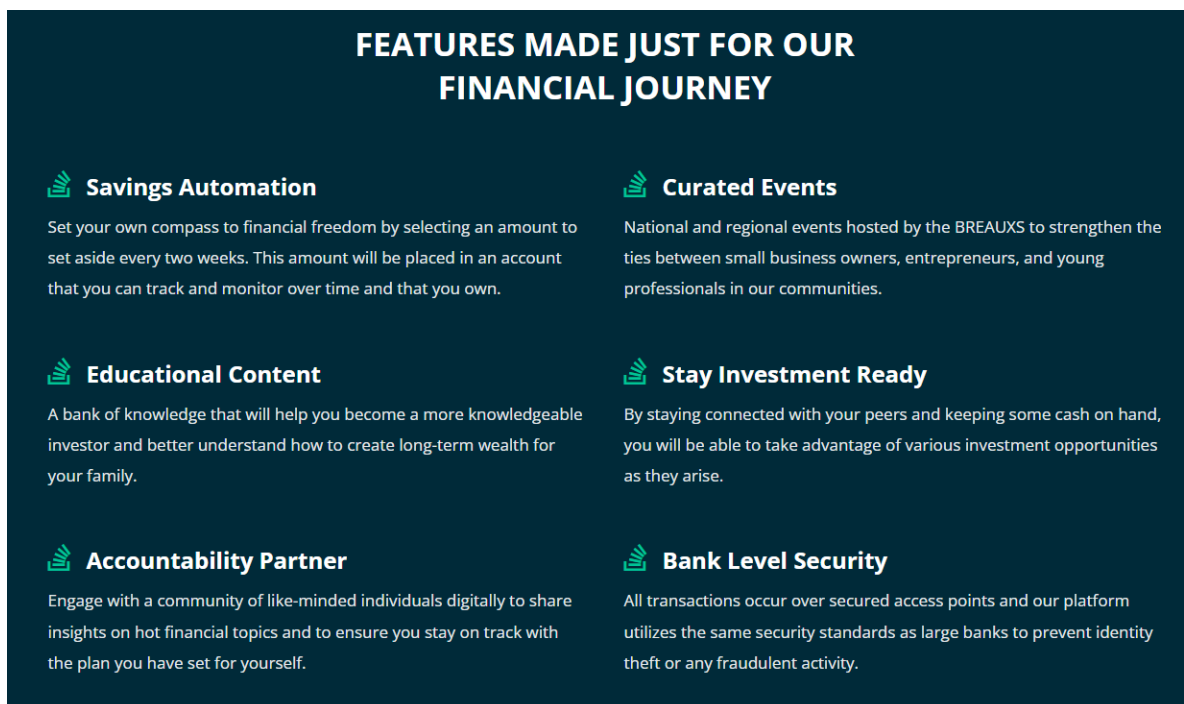


Figure 2. Key features of BREAUX Capital

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Everyone in BREAUX Capital knows how much other members have contributed to the capital pool, and shareholders make decisions together. “If you are a co-owner in BREAUX Capital, it means you decide how the company works. You are a decision maker” (Krueger 2020).

Members join BREAUX Capital’s investment pool by paying an initial \$299 onboarding fee and agreeing to contribute at least \$100 per month in automated savings. The pooled money is invested in stocks, bonds, and other opportunities, such as real estate and small business startups, with each decision voted on by the shareholders. The business earns revenue from onboarding fees and sharing in the profits earned from investments. Investors are free to withdraw their contributions and earnings (calculated based on the fund’s overall growth) at specific times during the year. Investors are not charged additional fees, like the account fees charged by banks.

According to BREAUX Capital, an initial \$500 investment from each cofounder grew to \$125,000 in assets (including additional investments and return on investments) within eight years, after accounting for an additional \$100,000 in withdrawals paid out to investors.

Defining Success

When Quarles and his partners launched the fund, they defined financial wellness for their customers with four key metrics:

1. Being able to take care of your basic needs
2. Being able to handle a \$1,000 emergency
3. Being able to take advantage of financial opportunities as they arise
4. Your closest friends (2–3) being able to take care of their needs [and] a \$1,000 emergency, while investing as well (BREAUX Capital n.d.)

The fourth metric builds on Quarles’s goal of accountability and community while also encouraging members to refer friends to BREAUX Capital.

As they launched the fund, they also had to define financial success for the business by setting key performance indicators (KPIs): specific data points to track over time to ensure that goals were met.

One KPI they identified was customer retention, which was important to Quarles because saving requires patience and perseverance over an extended time. BREAUX Capital only benefits the investors if they stay engaged long enough to reap the rewards, so the founders decided to give all members direct voting influence on investment decisions as a way to keep them engaged. Initially, they tracked retention quarter by quarter. After eight years in operation, BREAUX was able to track five-year retention. As of 2024, 66% of members stayed invested for at least five years.

BREAUX Capital also tracked return on investment (ROI). The company must be able to deliver quantifiable results in order to continue to attract members because investors have so many options for earning a return on their money. To increase the returns, BREAUX Capital routinely invites guest speakers with specialized knowledge to educate members on cryptocurrency, special asset classes, or other topics of interest related to investing. Whether they invest or not is up to the group. Historically, BREAUX Capital averaged 8% annual ROI, and in 2024 it was projecting 12%.

Annual revenue growth is a KPI significant to all businesses. Annual revenue growth shows how much more money a company has earned compared to the previous year. From 2020 to 2021, BREAUX Capital achieved 100% revenue growth. From 2021 to 2022, revenue growth shot up to 900%. From 2022 to 2023, revenue growth was 200%. As a company’s revenues grow, it can hire more staff, buy equipment and develop technology, and put more capital into operations. As a company matures, its revenue growth tends to plateau to more common double- or single-digit gains.

Topic 4.2 Case

Quarles said BREAUX Capital's two-year goal and most significant milestone is to reach \$250,000 in invested assets, and they hope to grow the fund to \$500,000 within five years.

Derrius Quarles was interviewed in 2024 by a College Board case author for this case study.

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